

TENDER OFFICE



**City of
Ekurhuleni**

BID ADJUDICATION COMMITTEE 31 MAY 2021

Our ref: A-RS 03-2020
Enquiries: Sisanda Maya
Tel. no.: (011) 999-6556

Head Office
Finance Department

Sanburn Building
68 Woburn Avenue
BENONI
1501

Date: 14 June 2021

Private Bag X 65
BENONI
1500

SITHEMBE TRANSPORTATION AND PROJECTS (PTY) LTD
2:6613 CRANE STREET
CENTURION
0157

Tel: (011) 999 6568
Fax: (011) 999 7200
www.ekurhuleni.gov.za

Fax no.: 086 603 7935
Tel. no.: 073 014 1535

Sir/Madam

CONTRACT NUMBER A-RS 03-2020: THE APPOINTMENT OF MULTIPLE SERVICE PROVIDERS FOR HIRING OUT OF PLANT AND EQUIPMENT FOR ALL COE CUSTOMER CARE CENTRES ON AN AS AND WHEN REQUIRED FROM DATE OF AWARD UNTIL 30 JUNE 2022.

You are hereby advised that the City Manager in terms of her delegated powers, when considering Item A-RS 03-2020 (T), resolved on 03 June 2021 inter alia as follows:

"2.23. That Bidder No. 88: **SITHEMBE TRANSPORTATION AND PROJECTS (PTY) LTD** of 2:6613 Crane Street, Centurion, 0157, Cell: 073 014 1535, Fax: 086 603 7935, Email: info@sithembe.co.za **scoring in the respective rank order tabled hereunder** for Contract A-RS 03-2020: The appointment of multiple service providers for hiring out of plant and equipment for all COE Customer Care Centres on an as and when required from date of award until 30 June 2022; **BE ACCEPTED AND APPROVED**, for the Northern, Eastern and Southern Service Delivery Areas at the **accepted/offered rates** (Excluding VAT and Escalations) as set out hereunder and subject thereto that the bidder accepts offer in writing within 7 days after notification of the award of the bid.

PLANT ITEM DESCRIPTION	ACCEPTED / OFFERED RATE	RANKING
ITEM 2.1.1 - TRACTOR LOADER BACKHOE (4X4)	R350,00	80
ITEM 2.2.1 - FRONT END LOADER (WHEEL)	R450,00	65
ITEM 2.7.1 - WATER TANKERS 6000-8000L	R300,00	51
ITEM 2.7.2 - WATER TANKERS 12001-15000L	R350,00	58
ITEM 2.9.1 - DROPSIDE TRUCK 4 TON DOUBLE CAB TRUCK	R350,00	46
ITEM 2.9.2 - DROPSIDE TRUCK 8 TON DOUBLE CAB TRUCK	R450,00	48
ITEM 2.15.1 - AIR COMPRESSORS (with accessories, two jack hammers and two operators) 70 - 100 CFM CAPACITY	R300,00	65
ITEM 2.16.1 - SELF PROPELLED WALK BEHIND ROLLERS BW 35 or equivalent (with operator and fuel)	R100,00	61
ITEM 2.16.2 - SELF PROPELLED WALK BEHIND ROLLERS BW 60/65 or equivalent (with operator and fuel)	R150,00	60
ITEM 2.16.3 - SELF PROPELLED WALK BEHIND ROLLERS BW 70/75 or equivalent (with operator and fuel)	R250,00	57

PLANT ITEM DESCRIPTION	ACCEPTED / OFFERED RATE	TRANSPORT / ESTABLISHMENT (ONE WAY): SEE CLAUSE 8 FORM I (EXCL. VAT)	RANKING
ITEM 2.3.1 - BACKACTOR EXCAVATOR (TRAX) POWER 121-170 KW	R500,00	R3 000,00	65
ITEM 2.5.1 - GRADER CAT 140G OR EQUIVALENT	R650,00	R3 000,00	54
ITEM 2.10.1 - HEAVY ROLLERS SMOOTH DRUM VIBRATING ROLLER 10 TON	R350,00	R3 000,00	61
ITEM 2.10.2 - HEAVY ROLLERS SMOOTH DRUM VIBRATING ROLLER 15 TON	R400,00	R3 000,00	58
ITEM 2.18.2 - SKID STEER LOADER CAT 262D or equivalent	R300,00	R3 000,00	50

36. That the rates in 2.23 *supra* BE SUBJECT to CPI escalation as set out hereunder:

ESCALATION

For this contract the rise and fall (for Fuel) and escalation (for Labour and Plant) will apply to all plant items irrespective of whether the item uses fuel or not or whether an operator/operators accompany the plant item. The changes in the tendered rates shall also apply to the bid transport rates.

For the purposes of the changes to the rates, it is assumed that the rates are composed as follows:

Fuel:	30%
Labour:	15%
Plant:	55%

Changes in rates due to the variation of Fuel costs will be applied on a monthly basis based on the Wholesale cost of Diesel (0.05% Sulphur) in Gauteng.

Changes in rates due to the variation of Labour and Plant/Machinery costs will be applied on an annual basis based on the CPI and Plant indexes as issued by Statistics SA.

The bid rates shall be increased or decreased on a monthly basis by a factor determined by the formula below, rounded off to the fourth decimal place:

$$Factor = 0,15 * \left(\frac{Lt}{Lo} \right) + 0,55 * \left(\frac{Pt}{Po} \right) + 0,3 * \left(\frac{Ft}{Fo} \right) - 1$$

Where:

"L" is the "Labour Index" and shall be the "Consumer Price Index" for the Primary Urban areas as reflected in Table A of the Statistical Release P0141 as published by Statistics South Africa

"P" is the "Plant Index" and shall be the "Plant and Equipment" as reflected in Table 4 of the Statistical Release P0151.1 as published by Statistics South Africa

"F" is the "Fuel Index" and shall be the Wholesale price of 0.05% Sulphur Diesel (Inland) as published by the Department of Minerals and Energy.

The suffix "o" denotes the base indices applicable to the base month which shall be the month prior to the closing date of the bids for Labour and Plant and the month in which the bids closed for Fuel.

The suffix "t" for Labour and Plant denotes the current indices applicable to the month two months prior to that month in which the last day of the period falls to which the relevant monthly statements relate but for Fuel the current month index/price will apply.

For Labour and Plant, the indexes will be adjusted on an annual basis in the month following the month in which the bids closed while for Fuel, the rates will be adjusted on a monthly basis.

If therefore the bid closing date is in June 2019, the rates will increase for Labour and Plant cost changes on 1 July of each year utilizing the May indices of the particular year.

Examples of calculations:

Assuming that the bid closing date is in March 2019, the factor to amend the rates effective 1 April 2020 will be calculated as follows:

$$\text{Factor} = 0,15 * \left(\frac{\text{CPI}(\text{February}2020)}{\text{CPI}(\text{February}2019)} \right) + 0,55 * \left(\frac{\text{Plant}(\text{February}2020)}{\text{Plant}(\text{February}2019)} \right) + 0,3 * \left(\frac{\text{Diesel}(\text{April}2020)}{\text{Diesel}(\text{March}2019)} \right) - 1$$

Assuming that the bid closing date is in April 2019, the factor to amend the rates effective 1 May 2020 will be calculated as follows:

$$\text{Factor} = 0,15 * \left(\frac{\text{CPI}(\text{March}2020)}{\text{CPI}(\text{March}2019)} \right) + 0,55 * \left(\frac{\text{Plant}(\text{March}2020)}{\text{Plant}(\text{March}2019)} \right) + 0,3 * \left(\frac{\text{Diesel}(\text{May}2020)}{\text{Diesel}(\text{April}2019)} \right) - 1$$

Your attention is drawn to the following conditions which must be adhered to within fourteen (14) days from the date of receipt of this letter:

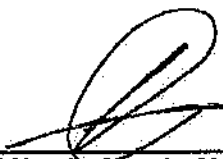
1. A copy of your latest Municipal Account/s, to confirm payment for services rendered by the relevant Local Authority/s are not in arrears for more than 3 months must **BE SUBMITTED** to the Finance Department.
2. A Service Level Agreement **BE ENTERED** into between the CoE and **SITHEMBE TRANSPORTATION AND PROJECTS (PTY) LTD** PRIOR to commencement with the contract but not later than **21 days** after having been informed of the award of the bid.
3. You will **NOT BE ALLOWED** to commence with this contract **PRIOR** to the submission of documents referred in conditions 1 and 2 above.

Your attention is further drawn to the following conditions from Payments Section:

1. A copy of your latest Municipal Account/s, to confirm payment for services rendered by the relevant Local Authority/s must **BE ATTACHED** to each payment certificate when submitting to the payment section.
2. In terms of the amendment of Section 20 of the Value Added Tax Act 89 of 1991, by the Revenue Laws Amendment Act 45 of 2003, it would be compulsory for all vendors to display the **VAT registration** number of debtors to whom an invoice is issued, with effect from 01 March 2005. The Council's VAT registration number **4280193493** must therefore appear on all invoices issued to Council.
3. Please note that your monthly creditor statement must be attached to your invoice/s within 7 days of the following month. For any enquiries please contact one of the following officials at the Finance Expenditure Reconciliation section: **Helga van Heerden (011) 999-6468**.
4. **PLEASE TAKE NOTE AFTER AN AWARD OF A TENDER TO CONTACT THE FOLLOWING OFFICIALS FOR THE REGISTRATION ON THE SUPPLIER DATABASE**
 - Thembakazi Mazibukwana (011) 999-4055/7689 Thembakazi.Mazibukwana@ekurhuleni.gov.za**Supplier Database Documents to be submitted to: Finance Department, 68 Woburn Avenue, Tender Office: Supplier Database Section, First Floor, Reception Area.**

Should you have any further enquiries, please do not hesitate to contact **SANDILE MYEZA** at Telephone number (011) 999-8579.


Senior Manager Acquisitions: Supply Chain Management
SIPHOKAZI XOKOZELA
CITY OF EKURHULENI


Divisional Head: Supply Chain Management
MPHO MPHUTHI
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